ADMISSION EXAMINATION
LEGAL PRACTITIONERS' BOOKKEEPING
PART 4

5 NOVEMBER 2020

MEMORANDUM

PLEASE NOTE THAT THE GUIDELINE ANSWERS TO PREVIOUS PAPERS MAY NOT BE A CORRECT REFLECTION OF THE LAW AND/OR PRACTICE AT THE MOMENT OF READING.

NOTE TO EXAMINER: ***This guideline records the views of the drafters. There may be justifiable variations in practice which are brought out in the answers. When this happens the examiner should apply his discretion in marking the answer.***

QUESTION 1 **[10]**

1.1
- Duty to implement internal administrative systems to guarantee that practitioners know and keep records of their clients.
- Report suspicious transactions to the Financial Intelligence Centre.
- Implement internal rules
- Appoint a Compliance Officer
- Train employees to recognise and deal with suspected money laundering. (5)

1.2 To indicate that you have sufficient funds in your Trust banking account and investment accounts to cover your trust liabilities. (1)

1.3
- Immediately report the deficit / shortfall to the LPC.
- Immediately rectify the Trust deficit / shortfall by transferring monies from the Business account to the Trust Account. (2)

1.4
- At the completion of a mandate.
- At early termination of a mandate. (2)

QUESTION 2 **[40]**

TRUST CASH BOOK

Debtor	50 000	T/F - BUS ACC	25 350
		Correspondent (T)	24 650

TRUST LEDGER
Correspondent (Green)

T/F CORR (B)	25 350	Cash EX TCB	50 000
Cash EX TCB	24 650		
	50 000		**50 000**

BUSINESS CASH BOOK

T/F TRUST ACC	25 350	Sheriff	3000
		Registrar	2000
		Counsel	10 000

BUSINESS LEDGER
Correspondent (Green)

Fees + VAT	1725	Fees + VAT (ALL)	575
Cash – EX BCB	3000	Fees + VAT (ALL)	1150
Fees + VAT	3450	Fees + VAT (ALL)	1150
Fees + VAT	3450	Fees + VAT (ALL)	2300
Cash – EX BCB	2000	T/F – CORR (T)	25 350
Cash – EX BCB	10000		
Fees + VAT	6900		
	30 525		**30 525**

FEES

Correspondent (B)	500	Correspondent (B)	1500
Correspondent (B)	1000	Correspondent (B)	3000
Correspondent (B)	1000	Correspondent (B)	3000
Correspondent (B)	2000	Correspondent (B)	6000

VAT

Correspondent (B)	75	Correspondent (B)	225
Correspondent (B)	150	Correspondent (B)	450
Correspondent (B)	150	Correspondent (B)	450
Correspondent (B)	300	Correspondent (B)	900

(1/2 mark each entry = 19)

TRANSFER JOURNAL

Correspondent (T)	Dr	25 350	
Corr (B)	Cr		25 350

Transfer of value

FEES JOURNAL

Correspondent (B)	Dr	1725	
Fees	Cr		1500
Vat	Cr		225

Being Fees – Warrant of Execution

Fees	Dr	500	
Vat	Dr	75	
Correspondent	Cr		575

Being Allowance

Correspondent	Dr	3450	
Fees	Cr		3000
Vat	Cr		450

Being Collection Commission

Fees	Dr	1000	
Vat	Dr	150	
Correspondent	Cr		1150

Being Allowance

Correspondent	Dr	3450	
Fees	Cr		3000
Vat	Cr		450

Being Fees – Undertaking

Fees	Dr	1000	
Vat	Dr	150	
Correspondent	Cr		1150

Being Allowance

Correspondent	Dr	6900	
Fees	Cr		6000
Vat	Cr		900

Being fees for Drafting Trust

Fees	Dr	2000	
Vat	Dr	300	
Correspondent (B)	Cr		2300

Being Allowance

(2 mark for each entry = 18)
(3 discretionary marks may be awarded)

QUESTION 3 no marks for balance 1 mark per entry [37]

DT	**TRUST CASHBOOK**	**[14]**	**CT**
VUYO (T)	300 000	Section 86(4)(INVESTEC)	300 000
VUYO (T)	111 900	Section 86(3)(ABSA)	100 000
Section 86(4) – (INVESTEC)	303 000	VUYO (T)	2 850
		LPFF	150
Section 86(3)(ABSA)	101 200		
V (T) **(STOCKBROKER)**	65 000	LPFF	1 200
		BCB – BUS ACC	11 900
		A (T) – pay agent	10 000
		V (T) – pay seller (AVI)	290 000
		V (T) – pay broker	100 000
		Balance	65 000
	881 100		881 100

DT	**BUSINESS CASHBOOK**	**[1]**	**CT**
TCB **(TRUST ACC)**	11 900		

THE TRUST LEDGER ACCOUNTS

DT	**Vuyo (T) PURCHASER[8]**		**CT**
TCB – EX TCB	2 850	TCB (EX TCB)	300 000
V (B) – TRFR VUYO(B)	11 900	TCB EX TCB)	111 900
A (T) TRFR – AVI (T)	300 000	Section 86(4) (EX TCB)	2 850
TCB	100 000	TCB (EX TCB)	65 000
Balance	65 000		
	479 750		479 750

DT	Avi - SELLER (T) [2]			CT
TCB – (EX TCB)	10 000		V (T) TRFR VUYO (T)	300 000
TCB – (EX TCB)	290 000			
	300 000			300 000

DT	Section 86(4) – INVESTMENT - i.f.o. VUYO [2]			CT
TCB	300 000		TCB	303 000
Vuyo(T) & LPFF	3 000			
	303 000			303 000

DT	Section 86(3) [2]			CT
TCB	100 000		TCB	101 200
LPFF	1 200			
	101 200			101 200

THE BUSINESS LEDGER ACCOUNTS

DT	Vuyo (B) [2]			CT
Fees	11 900		V (T) TFR: VUYO (T)	11 900

DT	Fees (B) [1]			CT
			V (B) VUYO (B)	11 900

THE JOURNALS [6]

	Fee Journal	DT	CT
	Vuyo (B) Fees Fees Earned – **TFR FEES COLLECTED**	11 900	11 900

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	Transfer Journal	DT	CT
	Vuyo (T) Vuyo (B) Transfer Fees	11 900	11 900

	Trust Journal	DT	CT
	Vuyo (T) Avi (T) (Transfer of purchase price)	300 000	300 000

QUESTION 4 **[13]**

Note to examiners: ***candidates were informed of error on the exam paper: question 4 (e) read: "A debit order payment for your motor vehicle of R2000 is not reflected in the cashbook".*** **The correct amount is R2500 and the sentence should read: "*A debit order payment for your motor vehicle of R2500 is not reflected in the cashbook.***

Dr	Business Cash Supplementary Book - June 2020 (1)				Cr
(1)	EFT	10000,00	Balance b/f	65000,00	(1)
	Balance c/f	58500,00	Interest on overdraft	1000,00	(1)
			Stop order - Motor Vehicle – DEBIT ORDER	2500,00	(1)
	68500,00			68500,00	
			Balance b/d	58500,00	(1)
	Bank Reconciliation Statement as at 30 June 2020 (1)				
	Balance as per bank statement			-47000,00	(1)
	Add outstanding payments			9000,00	(1)
	Less outstanding deposits			5000,00	(1)
	Less bank error payment			1500,00	(1)
	Add bank error deposit			9000,00	(1)
	Balance as per supplementary cash book			-58500,00	(1)

TOTAL: [100]